Unilever in the Global Economy

2020–2025

Speaker 1
Globalisation

Speaker 2
Regional Integration

Speaker 3
MNEs from Advanced Economies + CSR

Speaker 4
FDI

BUSI 1763 Dynamics of Global Business · Group presentation

Our mind map

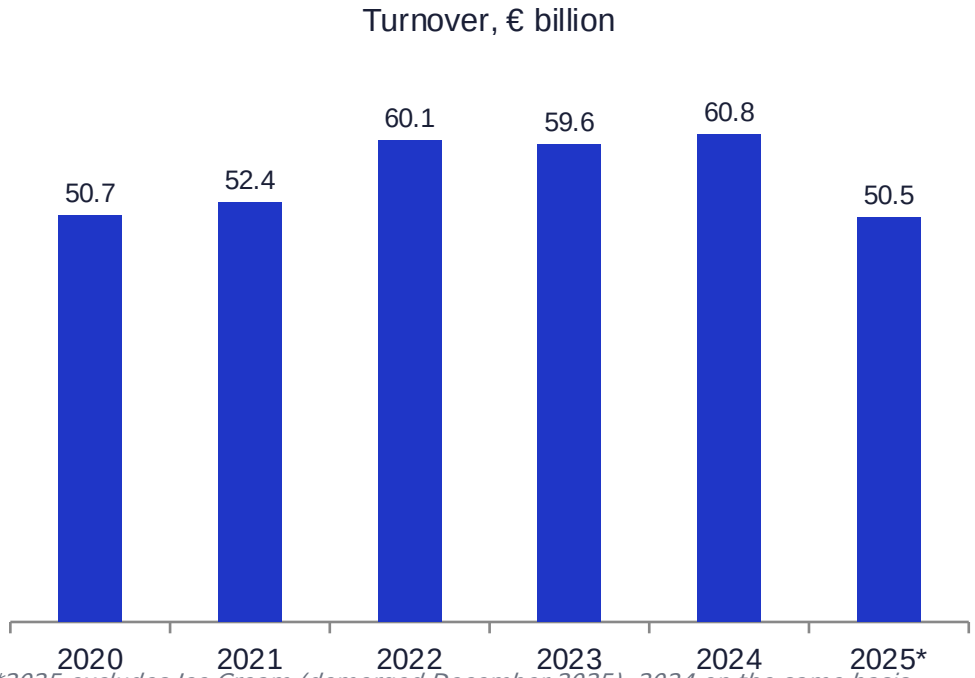
Four branches, one company, one period: 2020–2025



Sources: Unilever PLC Annual Reports on Form 20-F 2020–2025; UNCTAD World Investment Report 2025; US Census Bureau; USTR; full Harvard references on our presentation slides.

Unilever at a glance, 2020–2025

UK-based consumer goods MNE: beauty, personal care, home care, food



**2025 excludes Ice Cream (demerged December 2025); 2024 on the same basis: €52.5bn.*

59% of turnover from emerging markets (Jan–Dec 2025)

~190 countries where its brands are sold (Dec 2024)

3.4bn people use its products every day (Dec 2024)

118k average employees in 2025 (150k in 2020)

Sources: Unilever PLC (2021a; 2026a; 2026b).

Globalisation: one world market?

Levitt (1983) and the five drivers (Lecture 1)

A global company treats the world as one market and sells the same things in the same way (Levitt, 1983).

Five drivers

- Political: lower trade barriers
- Technology: digital, AI
- Market: global customers
- Cost: economies of scale
- Competition: global rivals

Two areas

- Globalisation of markets: new customers, smoother income
- Globalisation of production: make where it is best and cheapest

The tension

- Standardise: global brands
- Localise: local tastes and prices
- Risks: shocks travel fast

Sources: Levitt (1983); University of Greenwich (2026a).

Unilever: global growth, global shocks

Same brands everywhere, but more risk in 2020–2025

Date	What happened	Impact on Unilever
Mar 2020	COVID-19 lockdowns; supply chain change programmes paused	Extra supply-chain costs cut underlying operating margin by ~0.9 points in Jan–Dec 2020
Mar 2022	War in Ukraine: imports, exports and capital flows with Russia stopped	Russia = 1.4% of turnover, ~3,000 staff, 4 factories
Jan–Dec 2022	High inflation: net material inflation €4.3bn	Prices +11.3%, volumes −2.1%; underlying sales growth 9.0%
Oct 2024	Sale of the Russian business to Arnest Group completed	Unilever left a market for political reasons
Mar 2025	US puts 25% tariffs on Mexico and Canada (USMCA goods exempted)	Trade barriers are rising again
Dec 2025	Jan–Dec 2025: Asia Pacific Africa 44%, Americas 37%, Europe 19% of turnover	59% from emerging markets: growth now depends on them

So what? Global brands and emerging markets drive growth, but shocks now travel fast.

Sources: Unilever PLC (2021a; 2023b; 2025a; 2026b); Fortune (2025).

Regional integration: Mexico and USMCA

Lecture 2 · Focus country: Mexico

Countries in a region remove barriers between them, step by step. USMCA is level 1: a free trade area.

Five levels

- Free trade area ← USMCA
- Customs union
- Common market
- Economic union
- Political union

Effects

- Trade creation: more trade between members
- Trade diversion: from a cheaper outside country to a member

USMCA in brief

- US, Mexico and Canada; replaced NAFTA in Jul 2020
- Zero tariffs if rules of origin are met
- Mexico = US's No. 1 trading partner (Jan–Dec 2023, $799bn goods trade)

Sources: University of Greenwich (2026b); USTR (n.d.); US Census Bureau (2024).

Mexico: Unilever's door to North America

May 2025: Unilever calls Mexico one of its 10 largest markets (7,000+ employees)

Date	What happened	Benefit for Unilever
Jul 2020	USMCA enters into force (replaces NAFTA)	Qualifying goods made in Mexico enter the US and Canada with no tariffs
Feb 2023	New beauty & personal care plant in Nuevo León (near the US border) announced: $400m	Low-cost production next to the US market
Mar 2025	US 25% tariff on Mexico (4 Mar); USMCA-qualifying goods exempted (6 Mar)	Meeting USMCA rules of origin protects Unilever from tariffs
Apr 2025	Plant investment doubled to $800m; Unilever says it is mainly for exports to the US and Canada	Supplies the US, Unilever's biggest market (€10.5bn turnover, Jan–Dec 2025); plant still being built

So what? USMCA makes Mexico a low-cost, tariff-free base for the US. Limit: only ~half of US imports from Mexico qualified in Jan–Dec 2024.

Sources: USTR (n.d.); MND Staff (2025); Fortune (2025); Bloomberg Línea (2025); Unilever PLC (2026a).

MNEs from advanced economies + CSR

Lecture 4: MNE goals vs host-country goals

An advanced-economy MNE goes abroad to use advantages it already has. Its goals and the host country's goals can clash.

MNE goals

- High returns
- More sales
- Lower costs
- Share risk
- Better technology

Host-country goals

- Jobs and growth
- Technology
- Control of the economy
- A fair share of profits
- Clean environment

When they clash

- Creeping expropriation: new taxes and rules
- Profits leaving the country
- CSR = the MNE's "licence to operate"

Sources: University of Greenwich (2026c).

Unilever: British advantages, local partners

Brands and R&D from home; shared ownership abroad

Date	What happened	Impact on Unilever
Jan–Dec 2024	R&D spending: €987m	Technology and brands: ownership advantages from an advanced economy
Mar 2024	Productivity programme: about 7,500 office jobs to go	4,300 jobs gone by Dec 2024: profit vs host-country employment
Oct 2024	Russian business sold, after staying since Mar 2022	Protected assets, but clashed with home and host politics
Dec 2024	Local listed subsidiaries: India 61.9%, Indonesia 85%, Nigeria 76%	Local investors share profits; lowers political risk
Dec 2025	30 Power Brands make 78% of turnover (Jan–Dec 2025)	Global brands are the core of its advantage

So what? Unilever's advantages come from home, but it must balance profit with host-country jobs and politics.

Sources: Unilever PLC (2025a; 2025b; 2026a; 2026b).

Sustainability & CSR: progress and setbacks

CSR framework: the Unilever Compass (from Mar 2021)

Date	What happened	What it means for Unilever
Jun 2020	Makes a long-term promise to reach net zero emissions; €1bn Climate & Nature Fund	Long-term climate goal for the whole value chain
May 2021	Shareholders approve its Climate Transition Action Plan (99.59%)	Strong investor support
Jan 2022	Fund manager Terry Smith: Unilever has "lost the plot" over purpose	Criticism: purpose vs profit
Dec 2023	UK CMA investigates its green claims; case closed Nov 2024 after Unilever changed some claims	Greenwashing risk to its brands
Apr 2024	Plastic target lowered (it had planned to halve virgin plastic by 2025)	Setback: only −29% by Dec 2025
Dec 2025	Own-operation emissions −77% vs 2015	Progress on climate

So what? CSR keeps Unilever's licence to operate, but missed targets bring greenwashing claims. Key question: can it keep its climate promises?

Sources: Unilever PLC (2021a; 2021b; 2025a; 2026a); FoodNavigator (2022); Grocery Gazette (2024).

FDI: why and how firms invest abroad

Lecture 3 · Focus country: United States

FDI: a company owns and controls a business in another country, by building it (greenfield) or buying it (M&A).

OLI model (Dunning)

- O – Ownership: brands, technology, money
- L – Location: big market, low costs
- I – Internalisation: own it, do not license it

Four motives

- Market-seeking
- Resource-seeking
- Efficiency-seeking
- Strategic asset-seeking

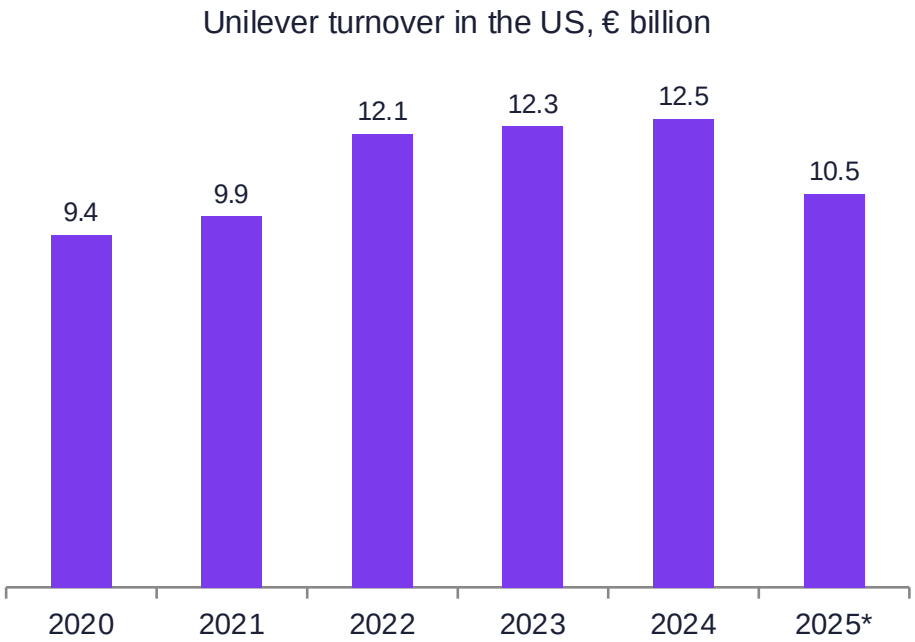
Two modes

- Greenfield: build new; slower, full control
- M&A: buy; faster, but expensive and hard to integrate

Sources: Dunning (1988); University of Greenwich (2026d).

Why the United States? Unilever and OLI

The US: world's largest FDI host ($279bn in Jan–Dec 2024) and Unilever's biggest market



**2025 excludes Ice Cream (demerged Dec 2025); 2024 on the same basis: €10.4bn. Each bar = Jan–Dec.*

O · Ownership
Global brands, money and worldwide distribution

L · Location
Biggest market; many premium and online shoppers

I · Internalisation
Buys and owns the brands, so it controls them and their customers

Sources: Unilever PLC (2022; 2023a; 2024; 2025a; 2026a); UNCTAD (2025).

Unilever in the US: what each deal brought

Mainly M&A = strategic asset-seeking: brands, customers, online skills

Date	What happened	Benefit for Unilever
Aug 2021	Paula's Choice (skincare, sells online), 100%, €1.83bn	Online sales skills; premium (Prestige) beauty grew by more than 10% in Jan–Dec 2022
Jul 2022	Nutrafol (hair wellness): stake raised to 80% for €811m	Helped Wellbeing grow by more than 10% in Jan–Dec 2025
Feb 2024	K18 (premium hair care), 91.88%	Grew by more than 10% in Jan–Dec 2024
Sep 2025	Dr. Squatch (men's personal care), 98.7%, €1.24bn	Moves Unilever into "premium and high-growth spaces"
Dec 2024	70% of US Beauty & Wellbeing sales now from Prestige and Wellbeing brands	Faster growth from premium brands
Dec 2025	North America underlying sales growth 5.3% (Jan–Dec 2025)	Good results in its biggest market

So what? Buying US premium brands gave Unilever growth, online skills and a stronger base in its biggest market. Risk: US premium beauty slowed in 2024.

Sources: Unilever PLC (2022; 2023b; 2024; 2025a; 2026a; 2026b).

Conclusion: smaller, but more focused

What our four theories tell us about Unilever, 2020–2025

Globalisation	Global brands and emerging markets (59% of turnover) drive growth, but COVID-19, inflation and Russia show the risks.
Regional Integration	Mexico + USMCA: a low-cost, tariff-free base to supply the US, Unilever's biggest market.
MNEs from Advanced Economies + CSR	Brands and R&D are its advantages; on CSR, progress on climate but setbacks on plastics; conflicts over jobs and Russia.
FDI	US FDI (mainly M&A) bought premium brands and online skills, and grew Unilever in its biggest market.

From 2020 to 2025, Unilever became smaller, but more focused on beauty, personal care and fast-growing markets.

Thank you

Questions are welcome

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